

**BEFORE THE
FEDERAL MARITIME COMMISSION**

FMC DOCKET NO. 19-05

**INTERPRETIVE RULE ON DEMURRAGE AND DETENTION
UNDER THE SHIPPING ACT**

COMMENTS OF THE WEST COAST MTO AGREEMENT

The West Coast MTO Agreement and its members (“WCMTOA”) hereby submit comments on the Notice of Proposed Rulemaking (“NPRM”) published by the Federal Maritime Commission (“FMC” or “Commission”) on September 17, 2019, at 84 Fed. Reg. 48850.

The members of WCMTOA are the 12 marine terminal operators (“MTOs”) operating in the containerized trades at the Ports of Los Angeles and Long Beach. These ports are the largest ports in the United States. As marine terminal operators, the members of WCMTOA would be directly affected by the NPRM because they collect demurrage either on behalf of ocean carriers or per the applicable port tariff. While they do not collect per diem/detention, which is collected only by ocean carriers, many of the issues raised in these comments would likely be relevant to per diem and detention as well.

WCMTOA appreciates the Commission’s efforts to investigate and report on issues surrounding demurrage and detention. The reports resulting from the various investigations and panels, involving a large number of stakeholders in large and small ports throughout the United States, has dispelled some confusion on demurrage and detention and provided additional clarity on various issues about the collection of these charges. This knowledge will be helpful to the industry as they review their practices.

However, WCMTOA has a number of concerns about the proposed rule, and would recommend a different approach. WCMTOA recommends that the Commission not adopt the proposal as a final rule, but rather use the voluminous reports and analysis developed, including in the proposed rule, as a resource for the industry in dealing with demurrage and detention issues going forward. As discussed in more detail below, WCMTOA believes a formal rule such as is proposed would in many cases increase container dwell times on terminals instead of incentivizing shippers to remove their containers in a timely fashion. The proposal’s limited focus on the incentive policy fails to consider the important and long-recognized policy of permitting the industry compensation for their costs. Finally, the proposal is an unduly broad-brush approach to a very complex problem that by its nature cannot account for individual and local circumstances and nuances. WCMTOA therefore believes it would not be an appropriate interpretive rule.

WCMTOA's detailed comments and concerns are discussed in detail as follows.

GENERAL CONCERNS

The Commission Should Consider Compensatory Policy of Demurrage. The sole policy underlying the NPRM is to "consider the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity." 84 Fed. Reg. at 48852. According to the language of the proposed rule itself, this "incentive principle" is the only factor the Commission will consider in analyzing whether a terminal operator's free time and demurrage practices are reasonable. To be clear, WCMTOA's members acknowledge and strongly support the essential policy of demurrage as an incentive for cargo interests to move cargo through the terminal as fast as possible. In fact, they would prefer that the incentive would deter shippers and truckers from leaving containers on the terminal, so that they never have to collect demurrage at all.

However, reliance *solely* on the incentive policy is a fatal flaw in the proposed rule. The Final Report in Fact-Finding 28 acknowledged the "compensatory purpose" of demurrage, i.e., the purpose of compensating terminal operators and carriers for the costs of providing terminal facilities to cargo interests. Final Report at 28, fn. 36. Regrettably, without any explanation, this policy is totally absent from the NPRM, and its absence results in proposals that disproportionately impact terminal operators.

The cases cited in the Final Report clearly recognize the dual nature of demurrage, the first purpose being compensation. The incentive purpose is cited as the second one.

Demurrage charges have a dual composition, consisting of an element of compensation for the storage of property, and an element of penalty to induce its removal.

Free Time and Demurrage Charges at New York, 3 U.S.M.C. 89, 107 (1948).

Demurrage is the charge assessed for the use of the pier facilities, for watchmen, fire protection, etc., on the cargo not picked up during free time . . . Second and third period demurrage rates include penal elements which are designed to encourage the prompt movement of cargoes off the piers.

In the Matter of Free Time and Demurrage Practices on Inbound Cargo at New York Harbor, 9 S.R.R. 860, 864 (FMC, 1967). In its discussion of demurrage in the *New York Harbor* case, the Commission also acknowledged the temptation for cargo interests to use piers as warehouses.

Because some of the importer-consignees operate on small margins of profit, and because public warehouse charges are generally higher than demurrage charges, some consignees tend to use the piers as warehouses.

Id.

The terminal operator members of WCMTOA are mindful of, and sympathetic to, the significant costs demurrage can impose on cargo interests. Demurrage costs can mount quickly in a wide variety of circumstances, from labor disruptions to weather to government inspections, and from non-performance by a shipper's trucker to lack of space at a receiver's facility. These costs have an impact on the businesses of U.S. importers and exporters. However, WCMTOA respectfully contends that the impact on cargo interests should not cause the Commission to ignore the terminal operators' need for compensation in demurrage situations, or to assign the cost impacts of demurrage situations solely to terminal operators as a default position. The cost burdens on both sides should be considered.

The compensation policy is a recognition that terminal operators incur costs for providing their facilities for processing of containers. Those costs are significant in the best of circumstances, and can increase exponentially during times of congestion that is often not caused by them. Specifically, in the Southern California ports where the WCMTOA members operate, terminal business is generally done through preferential assignment agreements ("PAAs") between the MTOs and the respective municipal port authorities that control those facilities. Similar forms of PAAs are commonly used in a number of port complexes throughout the United States. These arrangements are ultimately priced on the basis of container velocity, utilizing minimum volume guarantees as incentives for maximum lift and through-put across the respective container terminals. To the extent that individual container velocity is decreased, the ultimate cost per container unit to the MTO is dramatically increased.

The imposition of demurrage for delayed container evacuation is necessary to encourage expedient container dispatch. The current system works and promotes cargo fluidity at the terminal level and efficient handling of carrier equipment while under the MTO's control. Any proposed change to the current model introduces risk that cargo dwell times on the terminals will increase, effectively reducing terminal throughput capacity causing increased non-compensated cost to MTOs. To the extent that delays are occasioned by governmental entities, the nature of the cargo, cartage issues, cargo receiver tardiness or documentation errors, the facility cost to the MTO is nonetheless dictated by the PAA. Placing this effective increased cost burden upon the MTO alone by ignoring the compensation policy would be unreasonable and unfair to MTOs.

Accordingly, any time that containers remain at a point of rest on the terminal presents a cost to the MTO. That cost for the occupation of terminal space commences the moment that each container is brought onto each PAA marine terminal. In its relationship with the port, the MTO does not actually enjoy any "free-time" for any container on its facility. The Commission should consider the cost impacts on terminal operators as well as those on cargo interests in any rules issued on the subject and in any reasonableness analysis.

The congestion that triggered the Petition and Fact-Finding Investigation that preceded the NPRM illustrates the costs incurred by MTOs. During the port congestion which occurred on the West Coast in late 2014 and early 2015, the members of WCMTOA experienced aggregate unbudgeted expenses of approximately \$3 million per week in additional labor, equipment, and other costs as a result of the congestion. For example, many terminals added weekend shifts to work vessels and additional clerks and temporary workers to deal with the congestion. According to Pacific Maritime Association figures, in late 2014 and early 2015,

marine terminal operators on the West Coast were paying for 15 to 20% more man-hours than in the same weeks in the prior year, but were handling only 1 to 3% more cargo.¹ Importantly, the congestion was caused by a labor slowdown, not by any terminal operator actions or fault. Thus, in considering allocation of demurrage burdens and costs, the Commission should bear in mind that marine terminal operators are also negatively impacted by port congestion. They are assessing demurrage for cost recovery, not as a source of additional revenue or profit.

Undue Government Regulation. Another important policy concern raised by the NPRM is to reduce burdensome regulation of the industry, and the related policy of letting the free market determine allocation of risk and cost of leaving cargo on the terminal after free time. The Commission has strongly supported reduced regulation in principle. One of the purposes of the Shipping Act of 1984, as amended, is to regulate carriage of goods in U.S. foreign commerce “with a minimum of government intervention and regulatory costs.” The President issued Executive Order 13777, 82 FR 12285 on March 1, 2017, which encouraged reduction in government regulation and elimination of regulations that are, among other things, “unnecessary or ineffective,” or which “impose costs that exceed benefits.” As an independent regulatory agency, the FMC is not subject to this Order. However, the FMC has claimed to support the policies of the Order. On March 13, 2017, the FMC designated a Regulatory Reform Officer, and on May 26, 2017, it issued a Notice of Inquiry asking the public to identify “ways to make the Commission’s regulations less burdensome and more effective”

However, the NPRM at issue here would in many respects dictate, by government mandate, how demurrage principles would be applied and how the risk of demurrage situations would be allocated. In virtually every case, the NPRM would assign responsibility for the costs of these situations to the terminal operator or carrier, even when in many cases they are not the fault of the terminal operator or carrier. WCMTOA submits that the Commission should avoid this level of regulation and allow the market to allocate the risks and costs involved in those situations. The Bureau of Trade Analysis noted in its 2015 Congestion Study:

With appropriate leadership and support, constant encouragement, and a willingness to cooperate, industry stakeholders’ thoughtful insights and expressions of concern seemed to demonstrate that the intermodal industry itself is well-capable of accurately diagnosing the problems and crafting enduring solutions.

Congestion Study, p. 7. Indeed, various industry efforts have addressed aspects of demurrage and detention issues through dialogue. WCMTOA, in its recent “PierPass 2.0” modification, moved to appointment systems at all terminals, with some common rules, after extensive consultation with cargo interests and other stakeholders. The NPRM notes approvingly the efforts of OCEMA in promulgating suggested dispute resolution policies. 84 Fed. Reg. at 48854. Several ports, including those in Southern California where WMCTOA operates, have sponsored dialogue among stakeholders on demurrage and other issues relating to port efficiency.

Anti-Competitive Aspects of the Rule. Further to the concern about leaving demurrage issues to market solutions, some aspects of the NPRM would have anti-competitive effects. This is particularly true with respect to the mandates on what systems terminal operators would have

¹ “ILWU, PMA Trade Painful Blows As Talks Reach Eight-Month Mark,” *Journal of Commerce*, January 13, 2015.

to maintain -- with features such as push notifications and real-time updates -- to be considered reasonable. Currently, IT systems are developed by terminal operators as a matter of market competition. Some terminals have more sophisticated systems with state-of-the-art features, while others have less sophisticated ones. Decisions on what systems to adopt may depend on various factors such as cost and need (given cargo volumes, truck flows, trucker base, etc.). The terminals that choose to acquire more sophisticated systems may tout their competitive advantage in the market place, and may be able to charge a premium for their systems. Other terminals may make the calculation that the cost would not justify the additional capabilities or competitive advantage, and may be able to charge less for their services as a result. Customers would then be able to choose to use the services of one or the other terminal based on whether they want to pay, in part, for the more sophisticated IT systems.

The proposed rule would abandon this competitive market approach in favor of a government-mandated system that would effectively force everyone to adopt largely the same systems and features, removing competitive forces from the marketplace. This approach nullifies the competitive advantage certain terminal operators have obtained, as well as requiring other terminal operators to spend significant amounts of money on systems or features that would otherwise not be competitively necessary or commercially feasible. The rule might also have the effect of increasing the rates customers receive from their terminal operators.

A Nationwide Standard is Inappropriate. The NPRM seeks to mandate the same practices nationwide, without regard to geography, terminal configuration (including operating ports vs. landlord ports), cargo volumes, and other local conditions.² The NPRM is a broad-brush approach to a very complex subject. The fact is, there is no "perfect" system for all terminal operators throughout the United States. The NPRM's approach, which seeks to impose nationwide standards for all terminals and carriers, fails to reflect the nuances of the hundreds and thousands of different situations. It becomes unworkable because it tries to mandate practices that may not be feasible or cost-effective for many terminal operators. In its July 2015 study of congestion and possible remedies after forums held in Los Angeles, Baltimore, Charleston, and New Orleans, the Commission's Bureau of Trade Analysis warned against such an approach to congestion, fluidity, and related issues:

² The Commission might respond that such local differences would be addressed as the Commission considers the facts of each case. However, that is really the point. If each case depends on an analysis of the facts of each case, as has historically been the case under Section 10(d)(1) cases, it is unnecessary, and in fact counter-productive, to have a national standard such as in the NPRM. Such national standards and presumptions run counter to the individual factual analysis required by precedent, and could effectively pre-empt the factual consideration that should occur.

Moreover, these national standards effectively create presumptions that the terminal operators have to rebut in a dispute, and these presumptions have consequences. MTOs, carriers, shippers and truckers will in many cases adjust their practices consistent with the presumptions established in the rule, to avoid regulatory risk. Accordingly, in many cases the facts of specific cases may never be reached. It is unfair and counter-productive to promote such practice changes without an extremely strong basis.

To the extent practices are not changed to adapt to the presumptions, the rule will encourage an explosion of litigation by shippers and truckers who do not want to pay demurrage or detention. Terminal operators and carriers will enter such litigation at a disadvantage, having to overcome the presumption. While they theoretically would have arguments based on the facts, that would put them at an automatic (and expensive) disadvantage from the start of the process.

Therefore, what may be an appropriate solution in one terminal, at one port, or in one region of the country, may not be the most appropriate approach in others.

U.S. Container Port Congestion & Related International Supply Chain Issues: Causes, Consequences & Challenges, at 44. The Congestion Study further concluded:

The idea here is not to recommend or suggest 'best practices.' It would be invidious for the Commission to declare 'best practices.' Moreover, a practice considered 'best' in one set of circumstances may not be appropriate in other situations.

Congestion Study, p. 10, note 21. The Commission should not mandate nationwide practices through a generic rule such as proposed here. In particular, the following are some examples of the proposed rule's excessive reach.

SPECIFIC CONCERNS

There are several specific aspects of the proposed rule that raise concerns. In many cases, the proposals would not provide financial incentives to promote freight fluidity. In fact, they would have the opposite effect, and reward shippers and truckers for leaving cargo on the terminal for longer periods of time. In addition, many of these aspects of the rule would impose undue burdens on marine terminal operators. The following aspects of the rule fall into that category for the reasons explained.

Any Final Rule Should Not Mandate an Approach to Government Inspections

The NPRM seeks input on three possible approaches to government inspection. WCMTOA does not believe any of those three approaches should be adopted.

One reason the proposals are unsatisfactory is that they are based on an incomplete policy analysis. The Commission states that the problem is that the costs and delays associated with inspections is "a significant problem for cargo interests and truckers." 84 Fed. Reg. 48853. There is no mention or apparent consideration to the operational and financial impact of such delays on marine terminal operators or carriers. Because the Commission has only considered the impact on one set of parties, the three proposed approaches would each limit demurrage that can be charged and therefore unduly burden terminal operators.

This approach is particularly problematic because the shippers whose interests would be protected by the Commission here are the only parties that have a relationship to inspections. Government inspections are solely between the importer or exporter and the agency involved. Government inspections of containers are never caused by the terminal operator, and never relate to the MTO's facility or operations. In contrast, inspections may be caused by the fault of the importer or exporter, as a result of incomplete or inaccurate paperwork, discrepancies in load and count, faulty packing, failure to monitor for hazardous or other concerning cargo, or other issues. Even if not caused by cargo interest fault, they always relate to the cargo interest's cargo. As such, it is inherently unfair to assign all responsibility for the costs and burdens for those

inspections on the MTO. The Commission has recognized that it is not unreasonable to charge demurrage when the delay is not attributable to the party imposing the charge. *Free Time and Demurrage Charges at New York*, 3 U.S.M.C. 89, 96 (USMC 1948). The proposed rule would prevent the parties from allocating the cost to the shipper even if it was at fault.

For this reason, a presumption limiting MTO recovery of demurrage in inspection situations would be directly contrary to the incentive principle the NPRM seeks to apply. If the terminal operator or carrier may not reasonably impose demurrage during a government inspection, or include such periods in free time, the importer/exporter will have no incentive to avoid or minimize government inspections by ensuring that its paperwork is complete and accurate, that it properly loads and secures its cargo in a container, and that it carefully verifies the nature, quantity, safety, or labelling of its cargo. Container dwell times would in turn increase. Thus, the financial incentive purpose of demurrage would be defeated if the shipper is shielded from liability through this rule.

WCMTOA recognizes that a shipper may not necessarily be able to affect the timing of an inspection and that some inspections are random, not caused by suspected problems with the shipper's cargo. WCMTOA is also sympathetic to cargo interests' reluctance to pay demurrage when containers are delayed by such inspections. However, the costs of inspections will have to be someone's cost of doing business, and WCMTOA submits that it is reasonable that it be the cost of doing business of the party whose cargo is being inspected. At the very least, it is not fair to automatically assess that cost of doing business to the terminal operator, who has no connection with the cargo, and prevent allocation by the parties through the market.

Shielding the importer/exporter from liability would also violate the compensatory policy of demurrage by preventing the MTO from recovering its reasonable costs through application of demurrage. As with other delays, MTOs suffer significant costs in the form of capital lease costs, added equipment and labor costs caused by additional handling costs as a result of congestion on the terminal. A portion of its facility is tied up by the government for on-dock inspections, and the MTO incurs administrative costs in coordinating the use of that space with the agency. The terminal has to maintain that part of the facility in good order and working condition, and has to provide security for that part of the property along with others.

The proposals would impose a single approach to a complicated area involving a wide variety of inspections. They range from paperwork inspections, in which the shipper may not have accurately or completely completed its import or export forms, to full container inspections in which the container is stripped to examine individual parcels or commodities. Moreover, Customs does not inspect only for Customs issues. Customs inspections are the gateway to identify issues with respect to other laws as well. The Cargo Examination section of the CBP web site explains that "CBP enforces over 400 laws on behalf of over 40 other U.S. Government agencies." Thus, inspections relate to subjects varying from agricultural regulations to food and drug laws to fish and wildlife regulations.

The proposed approaches in the NPRM would be a departure from existing Commission precedent that has held it reasonable for carriers to apply demurrage charges in cases of government inspection. The same principle applies to terminal operators. In *Free Time and*

Demurrage Charges at New York, 3 U.S.M.C. 89 (USMC 1948), the Commission noted that government weighing of the cargo in that case “is not done for any reason that concerns the carriers but is an operation connected with a transaction between the importer and customs.” Accordingly, the Commission held that “[t]he delays which it entails are not attributable to the carriers and to make no allowance in the computation of free time for the time consumed on account of [the weighing] is not unjust or unreasonable.” *Id.* at 96. The suggested rule would reverse this precedent without reasoned explanation.

With respect to the three options proposed for consideration in the NPRM, the second proposal is the most objectionable, as it would entirely prevent collection of demurrage or inclusion of inspection time in free time. For all the reasons set forth above, that approach is an unfair and unreasonable departure from current law, and violates the policy objectives sought here.

The other two proposals are difficult to comment on because they give no details as to what type of “escalation” or “cap” is being referred to, or why they would be required. Neither should be adopted without further explanation by the Commission and opportunity to comment. These concepts may be references to case law that suggest that only compensatory demurrage, not penalty demurrage, can be imposed to the extent delays are caused by government inspections. *Free Time and Demurrage Charges at New York*, *supra*, at 93; *Practices of San Francisco Bay Area Terminals*, 2 U.S.M.C. 588, *aff’d.*, *California v. U.S.*, 320 U.S. 577 (1941). However, unless the proposed approaches add some additional clarity to existing law, and there is no indication that they do, the Commission should not address this issue in any final rule, but should leave the current situation as is under existing law. Ultimately, given the complexity of the issue, allocation of costs for government inspections should be left to the parties to determine.

The government inspection issue is an example of how, ironically, the governmentally-mandated allocation of risk to terminal operators and carriers in cases where neither party is at fault would not advance the incentive principle that the proposed rule purports to use as its lodestar. For example, if a terminal is closed on account of a labor action and the container is unavailable, the rule would mandate that the cost of that labor delay be borne by the terminal operator, not the cargo interest. However, requiring the terminal operator to bear the full cost burden of the labor delay would not provide the terminal operator an incentive to move the cargo through the terminal any faster, since neither the terminal operator nor the cargo interest can control when that situation is resolved and the cargo can move. Thus, while the Commission has accurately shown that the cargo interest is not incentivized by paying demurrage when the terminal is closed because of a strike, it has not conversely shown that the terminal operator is incentivized by being required to absorb that cost. In such situations, there is no applicable incentive on either side.

Nevertheless, the proposed rule would seek to impose 100% of the cost burden on the terminal operator despite the lack of any corresponding incentive benefit. There is a similar lack of incentive benefit in other situations where the condition is not the fault of either party. If a

court considered such a rule, it would likely find the Commission's prevention of demurrage in this situation to be arbitrary and capricious.³

**Any Final Rule Should Preserve the Right To Collect Demurrage
If the Container Only Becomes Unavailable After Free Time**

If any final rule is adopted, it should make clear that it is reasonable for a terminal operator to charge demurrage if a container becomes unavailable for any reason *after* free time has expired. The Commission has held that the assessment of charges is lawful under such circumstances:

Once free time has expired, the vessel's transportation obligation has ended. Absent a special contract, the carrier has done all that its transportation obligation requires it to do. Thus, in our view, it is only just and reasonable that the consignee, who has failed to avail himself of the opportunity to pick up his cargo during free time, should bear the risk of any additional charges resulting from a strike occurring after free time has expired.

The Boston Shipping Association, Inc., et al. v. Port of Boston Marine Terminal Association, et al., 10 F.M.C. 409, 417-18 (FMC 1967). This holding is still valid and logical today.

The NPRM, which is silent on this issue, should reaffirm this principle. Aside from being consistent with existing precedent, collecting demurrage after free time is supportive of the incentive principle. One problem consistently identified by terminal operators and carriers throughout the Fact-Finding was that shippers often opt not to use appointments made available early on in the free time period, but rather wait until the last free day to try to pick up their containers. Such waiting increases the likelihood that they might not be able to get an appointment, or otherwise be able to pick up their cargo, within the free time, which in turn increases dwell times and congestion. It also extends the time during which a force majeure or other event might occur that would make the container unavailable during the demurrage period, or during which an appointment might not otherwise be available on a particular day. If a shipper knows that it will be responsible for demurrage after free time, including if its container becomes unavailable during that time, it will have a stronger incentive to pick up the container during free time. Failing to permit this practice would have the opposite effect and significantly erode the incentive the Commission is trying to promote.

**The Commission Should Not Prescribe in Detail
How Notice of Container Availability is Given**

The NPRM states that in examining reasonableness, the Commission "may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice." 84 Fed. Reg. at 48856. WCMTOA does not disagree that notice be reasonably clear, transparent, and timely. However, the NPRM goes well

³ This is not to say that some terminal operators or carriers may choose to accept the cost burden of labor delays, weather, or other no-fault conditions. Some do so today. However, the point is that that decision should be left to the market, not required by government mandate.

beyond basic clarity and seeks to mandate the optimum level and type of notice for all terminal operators and carriers in all circumstances. Some of these mandates go beyond reasonableness in an effort to mandate by government regulation the perfect system. The difficulties of this broad-brush approach are evident in the following examples.

Push Notifications. The Fact-Finding Final Report had a very general discussion of ‘push notifications’ and other means of giving notice of container availability, with different views being recognized. In the NPRM, the Commission cryptically states that “cargo interests have persuasively explained the superior merits of ‘push notifications’ related to cargo availability, including notice of yard closures.” 84 Fed. Reg. at 48853.

Some terminal operators currently use push notifications, though those notifications may not include all the detail specified in the NPRM. However, most terminal operators make container status available on an electronic portal, where the carrier, shipper or trucker can check the status at its convenience. Such systems work well, and provide the same information as push notifications, in a timely manner. Modification to push notifications may or may not be feasible for such terminal operators, but to the extent they are, they would require significant reprogramming at considerable expense, and would not provide additional information for shippers and truckers.

The NPRM has not explained why push notifications are superior to other notice methods of notification of container availability, particularly in every port and marine terminal in the United States. More importantly, there is no explanation or analysis of why other existing methods of notification are unreasonable across the board, which is the legal standard.

There is also no direction in the rule on where push notices would be sent. MTOs do not have a contractual relationship with cargo interests or truckers, and thus lack the basic information needed to provide push notifications. They are aware of the container and its basic characteristics for handling purposes, but do not generally have information on the identity of the shipper and consignee or the commodities involved. Part of the reason is security-related – bill of lading information is generally sensitive and confidential, so is not shared beyond those with a need to know. This is one of the reasons many MTOs make container status information available on web sites so the information can be accessed by the shipper or trucker at its convenience.

Changes in Container Availability. The NPRM would seem to impose a requirement for a terminal operator to update cargo interests on a minute-by-minute basis as to the availability status of individual containers. For example, the NPRM states in its discussion of notice that “the Commission will consider how demurrage and detention practices account for cargo availability changes, such as when a container that is initially available becomes unavailable.” 84 Fed. Reg. at 48853.

Such notice is impractical and unduly burdensome in many cases. Many terminal operators’ systems are not equipped to provide such real time information on availability of every container, particularly on a push basis. There is also concern about the cost involved, including the additional labor cost that would likely be required to input the information. Again,

the Commission should not require impractical steps to notify of container availability, and should leave decisions on these systems to the marketplace.

Appointments. The NPRM suggests that only “practices that guarantee the availability of an appointment within a specified time of notice of container availability” would be reasonable. WCMTOA has concerns about the feasibility of this approach as well, and it would be particularly onerous to resolve disputes over whether an appointment was available within a specified time of notice. It would mean the terminal would have to archive every available appointment each day and when it was available. The NPRM also notes that the shipper’s diligence in scheduling an appointment would be considered as part of the reasonableness analysis. For example, say notice of container availability was given at 10:00 AM on Tuesday, and the “specified time” for which the container would have to be available was six hours. To meet the suggested criterion for every container, the carrier would have to archive information showing what appointments could be made within the six hours, when each one filled up between 10:00 and 4:00, and when free time ended, to establish the range of available appointments. This would be an impossible and burdensome requirement on terminal operators.

This commentary on the availability of appointments implies that appointment systems might be required in all terminals in the United States. This would not be feasible and is not necessary to fulfill either of the stated policies of demurrage. In many smaller ports, the cargo volume or truck traffic levels do not justify or require appointments. The traffic flows expeditiously without appointments. The Commission should not require appointment systems where the market does not justify or demand them. Indeed, in the 2015 congestion study, the Commissions Bureau of Trade Analysis concluded that, “[a]lthough truck appointment systems are in place at several terminals around the country, there appears to be no strong support, especially among the motor carrier community, for applying these systems more widely. Several participants pinpointed some basic flaws in these systems that restrict their effectiveness as a congestion management tool.” Congestion Study at 45.

Application of Incentive Principle to Cargo Interests and Truckers. The rule as drafted focuses on situations where there is arguably no incentive for cargo interests to pick up their cargo and they therefore should not have to pay demurrage. There is virtually no discussion as to how the rule could provide additional incentive for *cargo interests and truckers* to pick up cargo more quickly to avoid demurrage charges. For example, there was extensive testimony in this proceeding that shippers often wait until the last day of free time to pick up their cargo or even attempt to do so. If the Commission is serious about the incentive principle, it should factor into any final rule (if there is one) ways to incentivize cargo interests to arrange to pick up containers *early* in the free time period. Such incentives would significantly promote the policy enunciated by the Commission to move cargo through the terminals as quickly as possible. Some possible ways to do this might be:

- A cargo interest cannot claim unreasonableness in violation of the Shipping Act if it cannot demonstrate that it went into the system to make an appointment no later than during the first two days of free time, if the terminal involved has an appointment system.
- A cargo interest cannot claim unreasonableness if it did not attempt to pick up its container prior to the last two days of free time.

- A cargo interest cannot claim unreasonableness to the extent it obtained extra free time from the ocean carrier beyond the standard free time.
- A cargo interest cannot claim unreasonableness to the extent it failed to pay freight charges or complete paperwork in a timely manner. In fact, the proposed rule cites as one factor in its analysis whether cargo is “free of holds, and proper paperwork has been submitted.” 84 Fed. Reg. at 48853. This would incentivize the shipper to withhold payment of freight or other charges in order to obtain extra free time since the container would not be free of a carrier hold because of nonpayment of freight. It would also incentivize the shipper to be sloppy in its paperwork, since improper paperwork would also provide extra free time.

It is true that the above would require effort and responsibility on behalf of cargo interests. However, the proposed rule would impose significant and burdensome efforts and responsibilities on terminal operators and carriers. Accordingly, if a rule is adopted, it would be only fair to impose some responsibilities on cargo interests to further the policies set forth.

The NPRM notes that certain “extenuating circumstances” would permit application of demurrage charges, including whether the shipper has made an appointment, paid the freight, submitted required paperwork, and retained a trucker. 84 Fed. Reg. at 48852. That concept should be expanded to reflect the shipper incentive measures discussed above.

LEGAL CONCERNS

WCMTOA has a significant legal concern about the proposed rule as well. The concern is that the proposal changes existing Commission law and practice in many respects, with no explanation of why it does so. Some examples of departure from current practice are:

- Failure to apply or consider the compensatory function of demurrage, which has been recognized in Commission case law for decades.
- Options on government inspections that are inconsistent with precedent that recognizes that free time need not be tolled during inspections, and that demurrage can be collected.
- Assignment of the burdens and costs of demurrage situations solely to terminal operators when neither the terminal operator nor the cargo interest is at fault, contrary to Commission precedent.
- Assignment of the burdens and costs of demurrage situations to marine terminals where the assignment does not further the incentive policy that is the stated basis of the rule.

In all of the above cases, the Commission fails to provide a reasoned analysis or explanation of why it departs from past practice. This will not withstand review. The Supreme Court has held:

One of the basic procedural requirements of administrative rulemaking is that an agency must give adequate reasons for its decisions. The agency “must examine the relevant

data and articulate a satisfactory explanation for its action including a rational connection between the facts found and the choice made.” *Motor Vehicle Mfrs. Assn. of the United States, Inc. v. State Farm Mut. Automobile Ins. Co.*, 463 U.S. 29,43, 103 S. Ct. 2856, 77 L.Ed.2d 443 (1983) . . . [W]here the agency has failed to provide even that minimal level of analysis, its action is arbitrary and capricious and so cannot carry the force of law . . . [I]ack of reasoned explication for a regulation that is inconsistent with the Department’s longstanding earlier position results in a rule that cannot carry the force of law.

Encino Motorcars, LLC v. Navarro, 136 S. Ct. 2117, 2126 (2016). The Second Circuit emphasized the particular importance of a reasoned analysis when the agency is changing existing practice or precedent.

. . . [A]gency action is arbitrary and capricious if it departs from agency precedent without explanation. Agencies are free to change course as their expertise and experience may suggest or require, but when they do so they must provide a “reasoned analysis indicating that prior policies and standards are being deliberately changed, not casually ignored . . . An agency’s failure to come to grips with conflicting precedent constitutes “an inexcusable departure from the essential requirement of reasoned decision making.” *Columbia Broad. Sys. v. FCC*, 147 U.S. App. D.C. 175, 454 F. 2d 1018, 1027 (D.C. Cir. 1971).

Ramaprakash v. FAA, 346, F3d. 1121, 1124-1125 (D.C. Cir. 2003).

The Commission should not adopt a final rule based on the proposed rule and the analysis in the supplemental information. The proposal does not provide a sufficiently reasoned analysis, and in many cases no analysis whatever, of its departures from existing precedent.

For all the above reasons, WCMTOA respectfully urges the Commission not to adopt the proposed rule.

Respectfully submitted,

A handwritten signature in blue ink that reads "John Cushing". The signature is stylized with a large, looped "J" and a cursive "Cushing".

John Cushing
Secretary, West Coast MTO Agreement